Meridian Actuarial Advisors LLC

www.meridianactuarial.com

August 18, 2017

Michelle Hudson
Director of Operations
Miller, Cook and Snyder

Re: Reserve adequacy review

Dear Michelle:

Thank you for the time you and your colleagues gave us while we worked out the shape of this review. This letter puts what we agreed in writing. It says what we will do, what we will rely on, who will do the work, and the terms we will work under. We have kept it plain, because it is the document both of us will go back to if a question about the work comes up later.

What we have been asked to do

Miller, Cook and Snyder has asked us to review the reserves it carries and to give an opinion on whether they are adequate as of a valuation date we will settle with you at the outset. The opinion is the product. Everything else we do is there to support it. The review has four parts.

1. We will reconcile the reserve data you provide to your own financial records, so that the figures we test are the figures you carry.

2. We will review the methods and assumptions behind the current reserves, and set out which of them are prescribed and which rest on judgment.

3. We will develop our own estimate of the reserves required, from the reconciled data and from assumptions we are prepared to support.

4. We will compare our estimate with the carried reserves, explain any difference by its source, and state our opinion in a written report.

Work not on that list is outside this engagement. We are not auditing your financial statements, and we are not setting your reserves for you. If either becomes useful, we can scope it separately and in writing.

How we will go about it

We start with the data, because an opinion can be no better than the records under it. The first weeks go to assembling your files and checking them. We will send one itemized request rather than a series of small ones. What we will need falls into three groups.

1. The reserve detail as of the valuation date, at whatever level your systems hold it.

2. The year-end financial records in which those reserves are reported.

3. The documentation for the methods and assumptions in use at the valuation date, including any change made during the year and the reason for it.

We will rely on the data you give us. We will test it for internal consistency and reconcile it to your records, but we will not audit it. Where we find a gap, we will ask about it. Where a question cannot be answered, we will say in writing what we assumed in its place, and we will carry that assumption into the report where you can see it.

The work will be performed under the Actuarial Standards of Practice that apply to it, among them ASOP No. 23, Data Quality, and ASOP No. 41, Actuarial Communications. Our report will keep three things apart: what the data show, what we assumed, and what we conclude. Where a conclusion depends on an assumption, the report will say so in a paragraph of its own, so that anyone who reads it can see what the conclusion rests on.

Who will do the work

Jennifer Vasquez, a Consulting Actuary with our firm, will lead the review from day to day. She is your first call on scope, schedule, and any question of judgment. David Sherman, a Senior Analyst, will build the reserve model and carry out the reconciliation. Megan Dudley, an Actuarial Associate, will handle most of the correspondence with your staff about files and records, and she will keep the log of what we have asked for and what has arrived. I will review the work at each stage, and I will sign the opinion.

Requests for data go astray when several people on each side are asking and answering. We would like you to be our point of contact for data, with Megan Dudley as ours, so that one person on each side knows what has been asked for and what is still open, and your staff are not answering the same question twice.

Timing and fee

We expect to begin work on August 28, 2017 and to need about seven months from that date to the final report. Most of the risk to that schedule sits in the data. If the files arrive complete, the schedule holds. If they do not, we will tell you promptly what has moved and why.

Our fee for the work described in this letter is a fixed fee of $78,000.

Fees and payment

The fixed fee covers the reconciliation, the review of methods and assumptions, our estimate, a draft report, one round of questions on the draft, and the final report. We will invoice it in three parts: at the start of the work, on delivery of the draft, and on delivery of the final report. Invoices are payable within thirty days. If you ask us for work outside the scope above, we will agree on a fee for it with you in writing before we begin.

Term and termination

This engagement runs from the start of the work until we deliver the final report. Either of us may end it by written notice to the other. If it ends early, you will owe us for the work done up to the date of the notice and for nothing after it. We will then return or destroy your data, as you direct, apart from what our working papers are required to keep.

Confidentiality

We will hold the information you give us in confidence and use it only for this engagement. We will not disclose it outside our firm unless you agree in writing or the law requires it. If the law requires it, we will tell you first unless we are prevented from doing so. Our working papers are held under the same duty.

Limitation of liability

Our report is prepared for Miller, Cook and Snyder and for the purpose stated in it. No one else may rely on it without our written consent. Our total liability arising out of this engagement, in contract or otherwise, is limited to the fees you have paid us under this letter, except where the law does not permit such a limit.

Governing law

This letter and the engagement it describes are governed by the laws of the state in which our office is located.

If these terms match your understanding, please sign below on behalf of Miller, Cook and Snyder and return a signed copy to me. We will begin once we have it. If anything here reads differently from what we discussed, call me before you sign and we will correct the wording. We are glad to be doing this work with you and your team.

Sincerely,

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Robert Lawrence
Managing Actuary
Date: August 18, 2017

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Michelle Hudson
Director of Operations, Miller, Cook and Snyder
Date: August 18, 2017